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Mid-Market Must Flex More Muscle in IT Outsourcing

Market Segment

To get the most out of their IT outsourcing arrangements, mid-size enterprises must avoid devoting inadequate time and effort in overseeing third-party providers and the services they're being counted on to deliver. In addition, mid-size firms need to be spot on with their outsourcing requirements ─ such as uptime, job turnaround time, and work quality *before* they sign a deal.

Best in Class

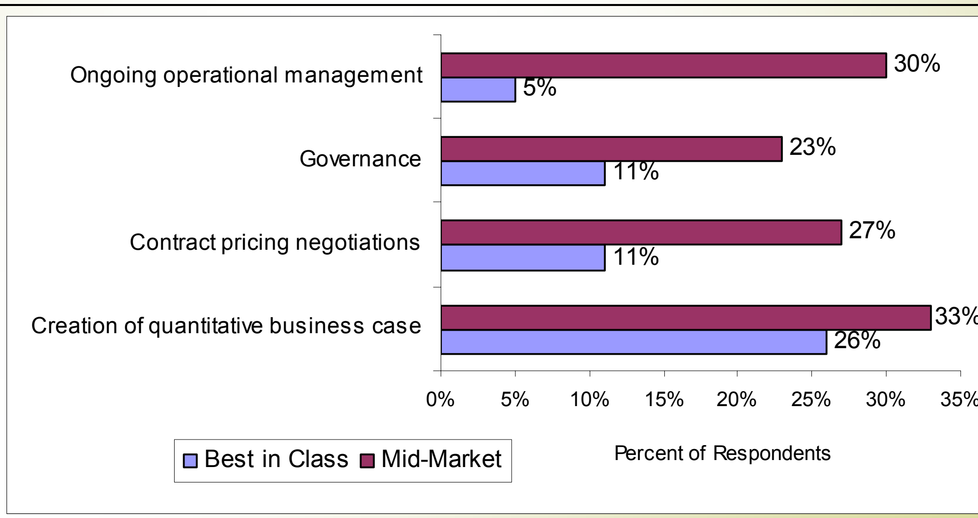
Best in Class organizations succeed at outsourcing IT functions in two ways: by devoting as much management time and effort to their relationships with third-party providers and by not being timid in going to the providers when service levels fall short of expectations.

Mid-market enterprises show those qualities as well, but not enough of them. To get the most out of their outsourcing deals, they need to get more assertive. One startling statistic that came out of Aberdeen's recent survey for *The Business Value of IT Outsourcing Benchmark Report*: Fully 25% of mid-market respondents admitted their companies have not been successful with IT outsourcing. None of the Best in Class cited a lack of success. Figure 1 shows four stages of the IT outsourcing process that highlight gaps between mid-size and Best in Class enterprises.

Recommendations for Action

- √ Get the RFP right.
- √ Don't be afraid to look outside for help.
- √ Improve relationship management.

Figure 1: Stages Prone to Costly, yet Avoidable, Planning Errors



Source: AberdeenGroup, July 2006

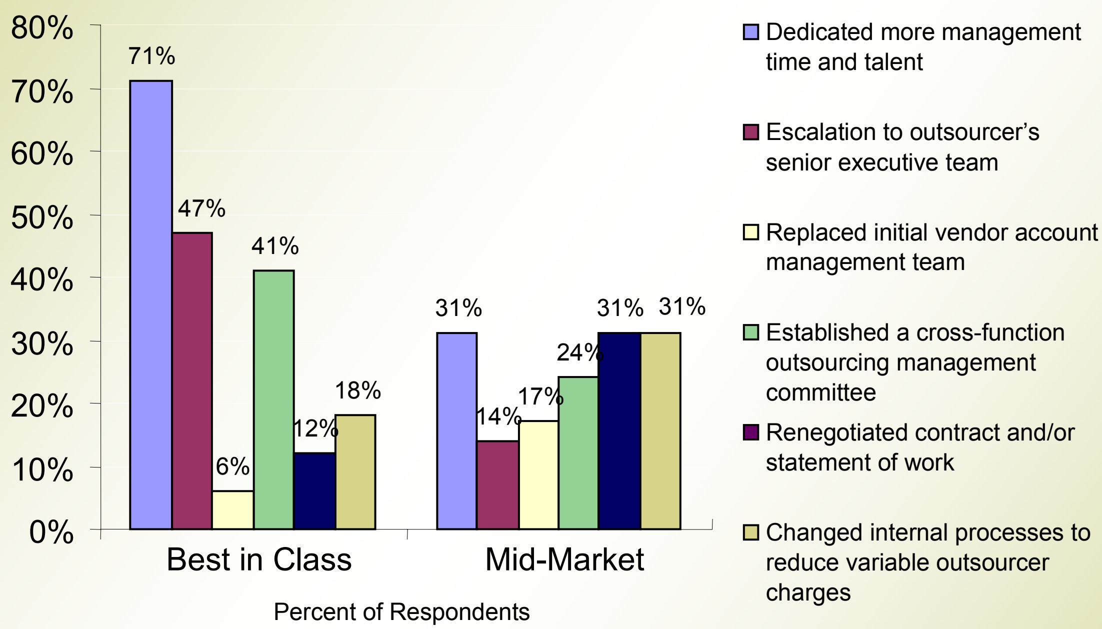
Announcement

Click here to download a copy of *The Business Value of IT Outsourcing Benchmark Report.*

The keys, judging from the survey responses, are knowing what you want to help the vendor correctly capture what it needs to provide. One respondent from a mid-size financial services company cited an internal "knowledge gap" that contributed to an outsourcing arrangement that fell short of expectations. More specifically, he said buyer organizations must have the knowledge so they can "exactly state the business requirements" in their RFPs and in discussions with would-be vendors.

Figure 2 highlights the differences in how mid-size and Best in Class companies overcome outsourcing challenges. Note especially the proportion of mid-size firms that change internal processes to reduce variable outsourcer charges, a clear example of "the tail wagging the dog."

Figure 2: How Companies Overcome Challenges to IT Outsourcing



Source: AberdeenGroup, July 2006

Aberdeen Recommendations

IT outsourcing is growing, and mid-size enterprises that want to remain competitive should at least entertain the idea. But it requires more than simply shipping a function outside the company. Mid-size firms must focus on the following:

- **First, get the RFP right.** Securing what you want requires knowing all the details behind what you want, having a strong idea of what an outsourced service might cost *before* the bids come in, and knowing what advantages you want to gain. Having a solid, detailed RFP can eliminate some vendors from contention and make it easier to decide which ones you may want to sit down and talk with further. Garner company-wide input to ensure that *you* know what end users want. That way, you can communicate that clearly to would-be providers.
- **Don't be afraid to look outside for help.** Most Best in Class companies rely on independent consulting firms. Many of the Best in Class, more so than mid-size enterprises represented in our survey, bank on specialized outside help, such as legal assistance, before executing a contract. These professionals may be able to ask questions and find potential

landmines your team may have overlooked. In the worst-case scenario, they won't and you'll have validation you're on the right track. Consultants can provide essential benchmarking guidance at the RFP stage, and best practices and coaching through the relationship building and implementation phases.

- **Improve relationship management.** Most of the Best in Class devoted more management time and effort to nurturing and improving relationships with outsourcers. This also highlights the importance of holding one person responsible for overseeing the relationship. If that person has the right knowledge of the agreement and good relationship management skills, the enterprise may want to entrust him or her with making even some of the most critical decisions that can avoid having to draw in other executives.

Related Research

The Business Value of IT Outsourcing Benchmark Report, July 2006

The Business Value in IT Outsourcing (Research Brief), May 2006

The Growing Market for IT Services, August 2006

The Application Development and Maintenance Outsourcing Benchmark Report; coming in October 2006

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